

23STCV25116 23STCV25116

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Case Number: 23STCV25116 Hearing Date: July 15, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: July 15, 2026

Case Name: Liu v. RPM Property

Management, LLC, et al.

Case No.:

23STCV25116

Matter: Demurrer with Motion to Strike

Moving

Party: Defendants RPM Property

Management, LLC, Chen-Wei Liu, also known as Victor Liu, Yiuli Yeh, and

Catherine Liu

Responding Party: Plaintiff Hsiao Yen Liu, also known as

Grace Liu

Tentative

Ruling: Defendants RPM Property

Management, LLC, Chen-Wei Liu, also known as Victor Liu, Yiuli Yeh, and

Catherine Liu's demurrer is overruled in its entirety.

Defendants RPM Property Management, LLC,

Chen-Wei Liu, also known as Victor Liu, Yiuli Yeh, and Catherine Liu's motion to strike is denied in its entirety.

Plaintiff Hsiao Yen Liu, also known as Grace Liu ("Plaintiff"), filed this action against

RPM

Property Management, LLC ("RPM"), Chen-Wei Liu, also known as Victor Liu , Yiuli

Yeh, and Catherine Liu (collectively "Defendants") and Does 1 through 10. The First-Amended

Complaint

("FAC") alleges five causes of action for: (1) accounting; (2) failure to pay

distributions;

(3) breach of fiduciary duty; (4) conversion; and (5) money had and received.

Defendants demur to the whole FAC and move to strike portions of the FAC. Defendants

oppose.

Plaintiff dismissed her fourth cause of action against Defendants on June 3, 2026.

Legal Standard

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading by raising questions of law. (Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court " 'treat[s] the demurrer

as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436.) “Immaterial” or “irrelevant” matters include allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subds. (b)(1)-(3).)

Request for Judicial Notice

Defendants

request that the Court take judicial notice of two exhibits: (1) an equity agreement; and (2) discovery responses from the consolidated case.

The Court

denies the request for judicial notice because there is no basis for the Court to take judicial notice of these documents.

Analysis

Meet

and Confer

Pursuant to Code of Civil Procedure

section 430.41, “a demurring party is required to meet and confer in person, by telephone, or video conference with the party that filed the pleading. . . .” (Code Civ. Proc. § 430.41, subd. (a).) A moving party in a motion to strike must meet and confer before filing the motion. (Code Civ. Proc. § 435.5, subd. (a).)

Defendants

contend that the parties met and conferred over the telephone. (Sugars Decl., ¶ 4.) Thus, the parties fulfilled their meet-and-confer obligations.

Demurrer

Preliminary Matters

California

Rules of Court, rule 3.1320(a) states that “[e]ach ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.” (Cal. Rules of Court, rule 3.1320(a).)

Here,

Defendants’ demurrer does not specify each basis for its demurrer for each cause of action, and instead groups the demurrer as to the entire FAC, which is procedurally improper. The Court will address the demurrer in the same manner that Defendants demur to the FAC.

Basis

for Demurrer

Defendants

demur to Plaintiff’s FAC on the basis that all causes of action are derivative causes of action and that her claims are time-barred.

Derivative

Claims

““A

shareholder’s derivative suit seeks to recover for the benefit of the corporation and its whole body of shareholders when injury is caused to the corporation that may not otherwise be redressed because of failure of the corporation to act. Thus, ‘the action is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.’ [Citations.] ‘... The

stockholder's individual suit, on the other hand, is a suit to enforce a right against the corporation which the stockholder possesses as an individual.' [Citation.]" (PacLink Communications Intern., Inc. v. Superior Court (2001) 90 Cal.App.4th 958, 964.) "In determining whether an individual action as opposed to a derivative action lies, a court looks at 'the gravamen of the wrong alleged in the pleadings.'" (Id. at p. 965.)

Defendants

argue that Plaintiff has no basis to pursue these claims individually because they argue that Plaintiff sold her interest in RPM. (Mot., 8:5-7.) However, the FAC alleges that Plaintiff "is, and at all times material to this action has been, the owner of an interest in" RPM. (FAC, ¶ 11.) Defendants are requesting that the Court make an evidentiary determination based on the items that they requested the Court to take judicial notice of, which the Court denied. The demurrer as written alleges that Plaintiff is an owner of the RPM, and in the demurrer stage the Court must take the allegation as true. Similarly, Defendants argue that Plaintiff has not furnished a security or contributed capital towards the formation of RPM. However, these arguments also exceed the four corners of the FAC.

Thus,

Defendants' demurrer is overruled.

Statute of Limitations

Defendants

also contend that Plaintiff's FAC is barred by the statute of limitations.

““The

defense of statute of limitations may be asserted by general demurrer if the complaint shows on its face that the statute bars the action.” ([Citations.]) There is an important qualification, however: “[i]n order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.” (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1315–1316 (E-Fab, Inc.) (citations omitted); Committee for Green Foothills v. Santa Clara County Bd. of Supervisors (2010) 48 Cal.4th 32, 42.) “To address these concerns, we have long settled that separate, recurring invasions of the same right can each trigger their own statute of limitations.” (Aryeh v. Canon

Business Solutions, Inc. (2013) 55 Cal.4th 1185, 1198.)

As

addressed above, Defendants seek for the Court to make evidentiary findings based on the items it requested the Court take judicial notice of. The FAC also does not make an affirmative showing that her claims are time-barred. (Compl., ¶¶ 14-15.)

Thus, the
demurrer is overruled.

Motion
to Strike

Defendants

move to strike all information pertaining to “conduct, failures, refusals, distributions, payments, or breaches occurring prior to the applicable statutes of limitation cutoff dates.” (Mot., 2:20-23.) Defendants specifically identify the following paragraphs: 14, 15, 16, 23-27, 31-34, Ex. , and portions of the Prayer for Relief seeking damages based on time-barred conduct.

Defendant

relies on the same arguments as in their demurrer, asserting that the claims are barred by the statute of limitations; however, as addressed in this ruling, the alleged defects must “clearly and affirmatively appear on the face of the complaint.” (E-Fab, Inc, supra, 153 Cal.App.4th at p. 1316.)

These alleged defects are not clearly and affirmatively alleged in the FAC. Thus, the Court cannot determine whether these claims are barred or not at this stage of the proceedings. Similarly, Defendants rely on evidence that is outside the four corners of the pleading, which is also procedurally improper.

Thus,
Defendants’ motion to strike is denied in its entirety.

Conclusion

Defendants RPM Property Management,
LLC, Chen-Wei Liu, also known as Victor Liu, Yiuli Yeh, and Catherine Liu’s
demurrer is overruled in its entirety.

Defendants

RPM Property Management, LLC, Chen-Wei Liu, also known as Victor Liu, Yiuli Yeh, and Catherine Liu's motion to strike is denied in its entirety.